country. APMCs successfully converted the totally disorganized wholesale agricultural produce marketing of the 1950s into a largely streamlined and organized marketing system by the end of the twentieth century.

A big structural mistake, however, turned APMCs into a stranglehold over the sellers (farmers) over a period of time. The fundamental mistake was the monopolistic nature of the system. Every APMC was legislated to have a physical market-yard and a market catchment area. This resulted in only one mandi/market for the agricultural produce of a defined market area. The produce grown in the market area was to be brought only to the designated market yard. The farmer had little choice but to comply.

The other law, the ECA, placed restrictions over industrial and wholesale buyers. They were subjected to stock limits. Having a shop became an essential prerequisite for traders and commission agents to buy produce from the mandi. This restricted purchasers to a small band of buyers and agents who, more often than not, colluded with each other to get the better of the farmers. Farmers were at the mercy of this small number of traders to sell their produce. The reform had turned into deform.

APMC Reforms Initiated in 2003

Recognizing the problems in the APMC marketing system, the government set up a committee in 2001. A task force examined these recommendations in 2002. This resulted in the Model APMC Law, 2003. While some states carried out these recommendations over the next decade, the progress was not considered satisfactory. A group of state agriculture ministers, appointed by the Union Ministry of Agriculture on the direction of Prime Minister Manmohan Singh, reviewed the progress in 2011–2012. The group’s main recommendation was that the Model APMC Act, 2003, should be adopted by all states in its entirety.

The Model APMC Act, 2003, and subsequent amendments in the model law diluted the monopoly of APMCs only a little. The market area for each